

Paid Time Off (PTO) Policy

Effective Date: [Insert Date]

Policy Owner: People Operations

Approved By: Executive Leadership Team

Review Cadence: Annual

Confidential – Internal Use Only

Purpose

MakeWorkInc provides Paid Time Off (PTO) to enable employees to rest, recharge, and manage personal matters while maintaining operational continuity and workforce planning discipline.

This policy establishes a scalable, compliance-aware PTO framework that:

- Supports employee well-being without compromising business performance
- Maintains manager discretion and operational coverage
- Ensures compliance with applicable wage and hour laws
- Provides consistency across functions and geographies

PTO is a company-provided benefit and is administered in accordance with business needs and applicable law.

Scope

This policy applies to regular full-time and part-time employees of MakeWorkInc unless otherwise required by local law.

Separate policies govern:

- Statutory sick leave (where mandated)
- Parental leave
- Medical and disability leave
- Public holidays
- Jury duty and other statutory leaves

Where local law conflicts with this policy, the company will comply with legal requirements.

PTO Framework

MakeWorkInc operates under an **accrual-based PTO model** for predictability, financial control, and compliance alignment.

3.1 Accrual Structure (Full-Time Employees)

Years of Service	Annual PTO	Accrual Per Pay Period*
0–2 Years	15 days	Prorated per payroll cycle
3–5 Years	20 days	Prorated per payroll cycle
6+ Years	25 days	Prorated per payroll cycle

*Accrual rates are calculated based on the company’s payroll frequency.

Part-time employees accrue PTO on a prorated basis based on scheduled work hours.

Accrual Rules

- PTO begins accruing on the employee's start date.
- Employees may not use unaccrued PTO unless approved in writing by their manager and People Operations.
- Accrual continues during active employment but pauses during unpaid leaves unless otherwise required by law.
- PTO accrual is capped at 1.5x the employee's annual accrual amount to limit financial liability.

Once the cap is reached, accrual will pause until the balance falls below the cap.

PTO Usage Guidelines

Scheduling Expectations

PTO must be requested in advance through the company's HRIS system and approved by the employee's manager.

Employees are expected to:

- Provide reasonable advance notice (minimum two weeks for absences of three or more consecutive days where practicable)
- Coordinate timing with team workload and critical business cycles
- Ensure appropriate handoff of responsibilities

Manager approval is based on business needs, team coverage, and operational impact.

Approval is not automatic.

Blackout Periods

Certain business-critical periods (e.g., end-of-quarter for Sales, major product launches, audits, peak support cycles) may be designated as PTO-restricted periods.

Functional leaders may define blackout windows with executive approval.

Minimum Increments

PTO may be used in increments consistent with payroll and wage compliance rules. Non-exempt employees must record time accurately.

Sick Time

Where required by state or local law, statutory sick leave will be administered separately and in compliance with applicable regulations.

In jurisdictions without mandated sick leave, incidental illness may be covered under PTO. Extended medical absences may qualify under separate medical leave or disability policies.

Employees must notify their manager as soon as practicable in cases of illness.

Company Holidays

MakeWorkInc observes a designated list of company holidays published annually.

Holidays do not count against PTO balances.

Holiday schedules may vary by country or region to comply with local norms and regulations.

Carryover

Unused PTO may carry over into the following calendar year subject to the accrual cap outlined in Section 4.

The company does not encourage excessive accrual. Employees are expected to use PTO annually to maintain productivity and reduce burnout risk.

PTO at Separation

Treatment of unused PTO at termination will comply with applicable state or local law.

- In jurisdictions requiring payout of accrued but unused PTO, the company will comply.
- Where payout is not legally required, the company reserves discretion consistent with policy and employment agreements.

Employees may not extend employment by using PTO in lieu of providing required notice unless approved by management.

Leaves of Absence

PTO does not replace or supersede legally protected leaves (e.g., FMLA in the United States or equivalent laws internationally).

Where permitted by law, the company may require employees to use accrued PTO concurrently with certain leaves.

All medical or protected leave scenarios should be coordinated through People Operations.

Abuse or Misuse

Misuse of PTO, including but not limited to:

- Falsification of time records
- Pattern abuse (e.g., unscheduled absences adjacent to weekends without legitimate reason)
- Failure to follow call-in procedures

may result in disciplinary action, up to and including termination.

Managers must document concerns and consult People Operations prior to corrective action.

Manager Responsibilities

Managers are responsible for:

- Ensuring adequate team coverage
- Applying approval standards consistently
- Avoiding favoritism or informal exceptions
- Monitoring excessive accrual balances
- Escalating compliance-sensitive situations

Managers may not create informal PTO arrangements outside this policy.

Policy Governance

People Operations owns this policy and is responsible for:

- Monitoring compliance across jurisdictions
- Reviewing financial liability exposure annually
- Recommending accrual adjustments as the company scales

Executive Leadership retains authority to amend this policy at any time.